



It's very important for you to familiarize yourself with your rights related to health care and other benefits. Employers are required to provide a summary plan description and plan booklets that spell out the coverage, your rights, and your responsibilities. Read this material and ask questions about anything you don't understand.

Should You Elect COBRA?

If you lose coverage and are eligible to elect COBRA, you should do so unless you have other options that provide at least basic coverage at a reasonable cost. Even if you pick up coverage with a new employer, you may want to elect COBRA during the period that you'd be subject to a pre-existing condition if you've had recent serious health problems. Be aware, however, that under the Health Insurance Portability and Accountability Act of 1996 (HIPAA), if you've been continuously covered by insurance for at least twelve months, a new plan can't limit coverage for a pre-existing condition that was covered under the previous plan. When you lose coverage, your employer or spouse's employer should give you a notice stating that you were continuously covered for twelve months so you can prove this to a new insurance company if necessary.

You may want to consider COBRA if your new employer doesn't offer a health plan or you've had recent health problems, are taking expensive prescriptions, have been declined for private health insurance, have had an accident within the election period, or are pregnant.

Health Savings Accounts

A health savings account (HSA) is a tax deductible contribution that you can make to a high deductible health plan (HDHP), which is an inexpensive health insurance plan with a much higher potential for out-of-pocket costs than traditional health insurance plans. The minimum deductible on an HDHP for 2012 is \$1,200 for an individual plan and \$2,400 for a family